

CSIS JAPAN CHAIR

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● Japan Daily Brief

Sunday, August 30, 2026

RE: Yen past 160 · \$96B FX intervention revealed · Freedom Edge Sept 7 · Tokyo missile shelter · Kim fires defense minister

NIKKEI 225
66,405.56
 ▲ +1.34%
 as of Aug 30

USD/JPY
160.04
 ▲ +0.71%
 as of Aug 30

EUR/JPY
185.24
 ▼ -0.21%

BRENT
\$88.10
 ▼ -0.54%

10Y JGB
1.50%
 yield

JAPAN 5Y CDS
20 bps
 — flat

BOJ POLICY RATE
1.00%

GDP (ANNUALIZED)
1.1%
 Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 Japan's Ministry of Finance revealed a ¥14.6 trillion (\$96 billion) yen-buying intervention in July-August as the yen breached 160 per dollar for the first time since a prior joint intervention, prompting US Treasury Secretary Bessent to publicly warn that disorderly yen moves can destabilize global markets.
- 2 Tokyo will convert a car park near Tokyo Station into an underground missile shelter, the government announced, marking the first such civil-defense infrastructure investment in the capital.
- 3 Freedom Edge 2026, the US-Japan-South Korea trilateral military exercise, is confirmed to begin September 7 near Jeju Island, focused on North Korea nuclear and missile threat scenarios, as Kim Jong Un dismissed defense minister No Kwang Chol in a military shake-up.

TOP STORIES

ECONOMY-BOJ

Japan discloses \$96B yen-buying intervention as yen breaches 160/dollar

Japan's Ministry of Finance revealed it conducted approximately ¥14.6 trillion (\$96 billion) in yen-buying intervention during July-August 2026, as the yen fell past 160 per dollar for the first time since a prior joint intervention episode. US Treasury Secretary Bessent separately warned that disorderly yen moves can destabilize global markets.

So what: The scale of disclosed intervention and Bessent's public comment raise questions about the sustainability of Japan's FX defense posture and potential for renewed US-Japan coordination or friction over currency policy.

per Nikkei Asia: "[Japan reveals \\$96bn yen-buying intervention in July-August](#)"

NIKKEI ASIA

DEFENSE

Tokyo to build underground missile shelter near Tokyo Station

Japan will convert a car park near Tokyo Station into an underground missile shelter, the government announced, marking a new phase of civil-defense infrastructure investment in the capital. The project reflects the government's expanding homeland defense posture amid sustained regional missile threats.

So what: *The Tokyo Station shelter signals that Japan's civil-defense buildup is now extending into central urban infrastructure, a development relevant to both the Three Strategic Documents review and domestic public communication on the threat environment.*

SCMP

ALLIANCE

PM Takaichi faces rule-of-law scrutiny over US sanctions on ICC

Japan Times reports PM Takaichi faces domestic and international scrutiny over how assertively Japan can respond to US sanctions on ICC President Tomoko Akane, given the centrality of the US alliance to Japan's diplomacy and security policy. The paper notes the tension between Japan's stated commitment to a rules-based international order and its alliance obligations.

So what: *The ICC sanctions issue forces a concrete test of Japan's alliance management, with the cabinet reshuffle and Takaichi's falling approval ratings adding political pressure to her handling of the matter.*

per The Japan Times: "Takaichi faces rule-of-law scrutiny over U.S. sanctions on ICC"

THE JAPAN TIMES

STAT OF THE DAY

\$96B

Japan's yen-buying FX intervention, July–August 2026

Japan's Ministry of Finance disclosed the intervention figure as the yen breached 160 per dollar, the weakest level since a prior joint intervention.

Source: Japan reveals \$96bn yen-buying intervention in July-August (Nikkei Asia)

REGIONAL PRESSURE WATCH

Light — 8 items (all DPRK-related; zero Japanese government primary sources)

PM Watch: No confirmed PM appearance today · 2 day(s) since last confirmed appearance

CHINA

No new Senkaku intrusion or CCG incident reported in today's Tier 1 or Tier 4 feed. The sustained diplomatic standoff following PM Takaichi's November Taiwan remarks and China's formal adoption of 'war criminals shrine' as its official designation for Yasukuni Shrine remain the baseline; the cross-party Japanese lawmaker visit to Beijing last week produced no breakthrough.

NORTH KOREA

Kim Jong Un dismissed defense minister No Kwang Chol in a military shake-up immediately before Freedom Edge 2026 US-Japan-ROK trilateral exercises are scheduled to begin September 7; a North Korean provocation in the exercise window is a recognized pattern from prior trilateral drill cycles.

RUSSIA

No new acute Russia-Japan territorial or military incident reported today; the sustained diplomatic standoff over Putin's Etorofu visit and Russia's August 21 Bastion missile live-fire from the disputed island remain the baseline.

Senkaku / ECS: No CCG intrusion or new Senkaku incident reported in today's feed; sustained near-daily Chinese patrol presence in the contiguous zone continues as baseline.

Bottom line: Kim Jong Un's dismissal of defense minister No Kwang Chol on the eve of Freedom Edge 2026 (September 7) is the primary watch item — North Korea's military command disruption paired with impending trilateral exercises elevates the near-term provocation risk; monitor for KCNA statements or launch activity from approximately September 5 onward.

EXPERT ANALYSTS

ACADEMIC JOURNALS

SECURITY STUDIES · A

Satellite Image Analysis: China's Nuclear Fuel Reprocessing Facility Begins Operation — Progress Toward Establishing a Nuclear Fuel Cycle | Japan-U.S. and Security Studies Unit | THE SASAKAWA PEACE FOUNDATION

The Sasakawa Peace Foundation's Japan-US and Security Studies Unit presents satellite image analysis showing that China's nuclear fuel reprocessing facility has begun operations, marking progress toward China establishing a closed nuclear fuel cycle. A Chinese reprocessing capability with operational status has direct implications for Japan's own plutonium stockpile diplomacy and for the extended deterrence calculus underpinning the US-Japan alliance. The analysis provides open-source intelligence relevant to Japan's nonproliferation posture and its trilateral security consultations with the United States.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
ANN	55.4%	29.9%	—
Kyodo	50.2%	33.9%	—
Mainichi · Jul 20, 2026 · 41d ago	41%	44%	—
Yomiuri	56%	32%	—
FNN	62.5%	32%	—
NHK	52.8%	33.2%	—
Jiji · Jul 16, 2026 · 45d ago	48.4%	26.9%	—
JNN	59.2%	37.6%	—

Nikkei	58%	37%	—
Asahi	53%	35%	—

Discourse: Takaichi's approval varies markedly across pollsters — from 41% (Mainichi) to 56% (Yomiuri) — with Jiji reporting a fall below 50% at the 300-day mark, framed by some outlets as a 'Truss-style triple crisis' involving fiscal, currency, and rule-of-law pressures.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · SUNDAY, AUGUST 30, 2026

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *PM Takaichi (Prime Minister)*

PM Takaichi targeted FY27 new bond issuance cap at ¥40 trillion in Yomiuri interview

PM Takaichi stated in a Yomiuri Shimbun interview that Japan aims to cap FY27 new bond issuance at ¥40 trillion, framing the commitment as balancing economic growth with fiscal discipline.

→ [Google News](#) ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *PM Takaichi (Prime Minister)*

PM Takaichi sends condolences to Chinese and Nepalese leaders over border floods

PM Takaichi dispatched formal condolence messages to the leaders of China and Nepal following flash floods along the China-Nepal border.

→ [nippon.com](#) ↗

防衛省 · MINISTRY OF DEFENSE (MOD)

Japan SDF to adopt NTT optical network technology for military communications

Japan's defense forces will integrate NTT's optical network technology into their communications infrastructure, per Nikkei Asia reporting.

→ [Nikkei Asia](#) ↗

PERSONNEL CHANGES

No Kwang Chol **DISMISSED**

Minister of Defense, North Korea

Kim Jong Un dismissed North Korean defense minister No Kwang Chol in a military shake-up, per multiple reports, occurring immediately before Freedom Edge 2026 US-Japan-ROK trilateral exercises are set to begin.

UPCOMING

SEP
7

Freedom Edge 2026 trilateral military exercises begin

US, Japan, and South Korea confirmed the Freedom Edge 2026 exercises will begin September 7 near Jeju Island, explicitly focused on North Korea nuclear and missile threat scenarios; North Korea is expected to react.

SEP
2

Anniversary: Japan's formal surrender (1945)

Japan signed the instrument of surrender aboard USS Missouri on September 2, 1945; the anniversary recurs annually and can draw commentary on postwar order and alliance obligations.

AUG
31

Anniversary: First North Korean missile overflight of Japan (1998)

On August 31, 1998, North Korea's Taepodong-1 flew over Japan into the Pacific — the first DPRK missile overflight, a precedent cited each time North Korea launches toward or over Japanese territory.

SEP
8

Anniversary: San Francisco Peace Treaty signed (1951)

The San Francisco Peace Treaty was signed September 8, 1951, ending the Allied Occupation of Japan and establishing the framework for the US-Japan alliance; the original US-Japan Security Treaty was signed the same day.

DEC
1

MOD annual budget request cycle (late summer/fall)

Japan's Ministry of Defense budget request for the next fiscal year is typically submitted in late summer, with a Cabinet draft budget due in December; the current defense-spending trajectory targets 2% of GDP, brought forward to JFY2025.

US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

Steel

50%

SECTION 232

Aluminum

50%

SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 122 surcharge expired Jul 24, 2026; Section 301 forced-labor tariff entered force Jul 24, 2026

WIRE

BUSINESS & ECONOMY

ENERGY · NIKKEI ASIA

Japan-backed US e-methane plant enters design phase

A Japan-backed e-methane production plant in the United States has entered the design phase, advancing Tokyo's energy security diversification strategy as an alternative to conventional natural gas imports.

MANUFACTURING · MAINICHI

Japan manufacturers to form consortium to develop AI for factory robots

Japanese manufacturers announced plans to form a consortium to develop artificial intelligence applications for factory robots, per Mainichi Shimbun, as the industry seeks to address labor shortages through automation.

ALSO TODAY / THE WIRE

POLITICS-DIET · THE JAPAN TIMES

Japan to drop 45-hour monthly overtime cap, raising work-reform questions

Japan will stop requiring companies to cap employee overtime at 45 hours per month, prompting questions about whether the government is retreating from its work-style reform agenda.

CSIS JAPAN CHAIR · JAPAN DAILY BRIEF · GENERATED 10:57 AM ET

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